

At the same time, they are a low risk investment, like any fixed interest, fixed tenure investment, such as fixed deposit.

Over and above this flexibility, they can help you save taxes as well. Considering all this, bonds are an important part of the debt portion of the portfolio. How much should you invest in bonds depends on the risk and reward ratio with which you are building your portfolio and the breakup of debt and equity that you are looking at. Your age, country, risk taking capability and other environmental factors play a pivotal role in deciding the distribution of your portfolio.

Financial Investment Tools	
Bank Fixed Deposits (FDs)	Superannuation
Bank Recurring Deposits (RDs)	Gold
PPF (Public Provident Fund)	Stocks
EPF (Employee Provident Fund)	Bonds
VPF (Voluntary Provident Fund)	Mutual Funds
National Pension Scheme (NPS)	FMPs (Fixed Maturity Plans) of MFs
Sukanya Samridhi Scheme (SSS)	Commodities
Gratuity	Real Estate

Mutual Funds

Mutual funds are a very popular investment vehicle because they allow you to invest in stocks and bonds without having the stress of deciding the right ones to buy or the right time to sell. When you invest in mutual funds, the money goes into a common pool of money along with other peoples investments. The portfolio manager⁴⁶ of the mutual fund starts investing the collected money into various stocks and bonds in the market. The mutual fund company issues shares to the investors so that they have an ownership in the fund.

As the investment grows, it is likely that the Net Asset Value⁴⁷ (NAV) or the price per share of the fund goes up and so do your likely returns. As with stock, you can track the NAV of your mutual fund. While the stock